

CARBACID INVESTMENTS plc

UNAUDITED CONSOLIDATED RESULTS

FOR THE SIX MONTHS ENDED

31ST JANUARY 2018

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR 6 MONTHS ENDED 31 JANUARY 2018

	6 Months to 31 January 2018 <u>Shs '000</u>	6 Months to 31 January 2017 <u>Shs '000</u>
TURNOVER	301,566	322,237
COST OF SALES	(132,585)	(117,648)
GROSS PROFIT	168,981	204,589
OTHER OPERATING INCOME	15,321	15,448
ADMINISTRATIVE EXPENSES	(48,829)	(40,585)
OPERATING PROFIT	135,473	179,452
FINANCE INCOME	76,155	75,230
FOREIGN EXCHANGE DIFFERENCES	154	848
FAIR VALUE GAIN ON INVESTMENT PROPERTIE	0	0
ADJUSTMENT ON REVALUATION OF EQUITY INVESTMENTS	6,108	(36,371)
PROFIT BEFORE TAX	217,890	219,159
TAXATION	(52,907)	(54,790)
PROFIT AFTER TAX	164,983	164,369
INTERIM DIVIDEND PER SHARE	0.00	0.00
EARNINGS PER SHARE	0.65	0.64
No. of Shares in issue	254,851,985	254,851,985

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
FOR SIX MONTHS ENDED 31ST JANUARY 2018

	31st January 2018 (Unaudited) Shs '000	31st January 2017 (Unaudited) Shs '000
ASSETS		
Non Current Assets		
Property, Plant & Equipment	952,863	978,835
Investment Property	233,000	120,000
Operating Lease Prepayment	54,412	62,059
Equity Investments	370,290	294,433
Corporate Bonds	250,757	292,079
Treasury Bonds	475,815	425,000
	<u>2,337,137</u>	<u>2,172,406</u>
Current Assets		
Inventories	60,741	62,332
Trade & Other Receivables	158,804	153,739
Short Term Deposits	625,373	563,968
Bank & Cash Balances	59,029	41,761
Taxation Recoverable	29,275	25,035
	<u>933,222</u>	<u>846,835</u>
Total Assets	<u><u>3,270,359</u></u>	<u><u>3,019,241</u></u>
EQUITY & LIABILITIES		
Share Capital & Reserves		
Share Capital	254,852	254,852
Revaluation Surplus & Share Premium	160,075	92,645
Revenue Reserves	2,330,761	2,148,305
Surplus for the 6 months	164,983	164,369
	<u>2,910,671</u>	<u>2,660,171</u>
Non Current Liabilities		
Deferred Income Taxes	234,698	239,938
Current Liabilities		
Trade & Other Payables	111,207	110,618
Unclaimed dividends	13,783	8,514
Taxation Payable	-	-
	<u>124,990</u>	<u>119,132</u>
Total Equity & Liabilities	<u><u>3,270,359</u></u>	<u><u>3,019,241</u></u>

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR SIX MONTHS ENDED 31ST JANUARY 2018

	Share Capital <u>Shs '000</u>	Share Premium <u>Shs '000</u>	Revaluation Surplus <u>Shs '000</u>	Retained Earnings <u>Shs '000</u>	Total <u>Shs '000</u>
As at 31st July 2017	254,852	27	160,048	2,509,157	2,924,084
Capitalisation of retained earnings				-	-
Net Profit for the period				164,983	164,983
Final Dividend Paid				(178,396)	(178,396)
As At 31st January 2018	<u>254,852</u>	<u>27</u>	<u>160,048</u>	<u>2,495,744</u>	<u>2,910,671</u>

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR SIX MONTHS ENDED 31ST JANUARY 2018

	6 Months to 31 Jan 2018 (Unaudited) Shs '000	6 Months to 31 Jan 2017 (Unaudited) Shs '000
<u>OPERATING ACTIVITIES</u>		
Cash Generated from Operations	108,608	163,340
Interest Received	76,155	75,230
Taxation Paid - Final Tax 2017	(18,720)	(10,292)
Taxation Paid - Installments 2018	(37,832)	(92,003)
Net Cash Generated from Operating Activities	<u>128,211</u>	<u>136,275</u>
<u>INVESTING ACTIVITIES</u>		
Purchase of Plant & Equipment	(5,542)	(23,481)
Proceeds from Redemption of Corporate Bonds	29,729	15,625
Purchase of Equity Investment		(12,951)
Purchase of Treasury Bonds	(50,815)	(288,128)
Dividends Received from equity instruments	3,146	839
Proceeds from sale of Fixed Assets	3,812	-
Net Cash Used in Investing Activities	<u>(19,670)</u>	<u>(308,096)</u>
<u>FINANCING ACTIVITIES</u>		
Dividends Paid	<u>(178,396)</u>	<u>(178,396)</u>
INCREASE / (DECREASE) IN CASH & CASH EQUIVALENTS	<u>(69,856)</u>	<u>(350,217)</u>
CASH & CASH EQUIVALENTS AT THE START OF THE PERIOD (maturing in less than 3 months)	754,259	955,382
CASH & CASH EQUIVALENTS AT THE END OF THE PERIOD (maturing in less than 3 months)	<u><u>684,403</u></u>	<u><u>605,165</u></u>

CARBACID INVESTMENTS plc

UNAUDITED CONSOLIDATED RESULTS FOR THE SIX MONTHS ENDED 31ST JANUARY 2018

Income Statement

	6 months to 31-Jan-18 Shs '000	6 months to 31-Jan-17 Shs '000
Turnover	301,566	322,237
Operating profit	135,473	179,452
Finance Income – Net	76,155	75,230
Foreign Exchange Differences	154	848
Revaluation of equity investments	6,108	(36,371)
Profit before taxation	217,890	219,158
Taxation charge	(52,907)	(54,790)
Net Profit After Tax	164,983	164,369
Earnings per share – Basic & Diluted	Shs 0.65	Shs 0.64

Statement of Financial Position

	As at 31-Jan-18 Shs '000	As at 31-Jan-17 Shs '000
ASSETS		
Non Current Assets		
Property, plant and equipment	952,863	978,835
Investment property	233,000	120,000
Operating lease prepayment	54,412	62,059
Equity investments	370,290	294,433
Bonds and treasury bonds	726,572	717,079
	<u>2,337,137</u>	<u>2,172,406</u>
Working Capital		
Current assets	933,222	846,835
Current liabilities	(124,990)	(119,132)
Net working capital	<u>808,232</u>	<u>727,703</u>
Total net assets	3,145,369	2,900,109
EQUITY AND LIABILITIES		
Share Capital and Reserves		
Share capital	254,852	254,852
Capital reserves	160,075	92,645
Revenue Reserves	2,330,761	2,148,305
Surplus for the period	<u>164,983</u>	<u>164,369</u>
	<u>2,910,671</u>	<u>2,660,171</u>
Non current liabilities		
Deferred income taxes	234,698	239,938
Total equity and liabilities	3,145,369	2,900,109

Cash Flow Statement for the six months ended 31st January 2018

	6 months to 31-Jan-18 Shs '000	6 months to 31-Jan-17 Shs '000
Balance at 31st July 2017	754,259	955,382
Net cash generated from operating activities	128,211	136,275
Net cash used in Investing activities	(19,670)	(308,096)
Cash used in payment of Dividends	(178,396)	(178,396)
Balance at 31st January 2018	684,403	505,165

Statement of Changes in Equity for the six months ended 31st January 2018

	Share Capital Shs '000	Share Premium Shs '000	Capital Reserves Shs '000	Revenue Reserves Shs '000	Total Shs '000
As at 31st July 2017	254,852	27	160,048	2,509,157	2,924,084
Net Profit for the period	-	-	-	164,983	164,983
Final Dividend Paid	-	-	-	(178,396)	(178,396)
As at 31st January 2018	254,852	27	160,048	2,495,744	2,910,671

Results for the six months ended 31st January 2018

The Board of Directors of Carbacid Investments plc is pleased to announce the Company's unaudited half year results for the six months ended 31st January 2018.

Turnover for the first 6 months of the year reduced by 6% compared to the same period last year due to lower demand in local markets. Profit after tax at Shs 165 million compares to Shs 164 million in the corresponding period in the previous year. Various initiatives have been taken to increase sales despite the current economic conditions in the region.

Increasing oil prices and related fuel costs adjustments have negatively impacted our electricity and transport costs resulting in higher operating costs. The Group continues to look for efficiencies and improvement opportunities. Regulatory changes arising from Mining Royalties and County Governments' demands and expectations continue to pose new challenges to business and operations.

Dividends

As has been the practice in the past three years, a final dividend will be considered based on full year results.

By Order of the Board,

N P Kothari,
Secretary,
14th March 2018